

Three-Bucket Retirement Strategy

Tony Walter | Updated March 9, 2026 | \$8,000/Month Target | 4.25% Withdrawal Rate

\$2,239,531 Portfolio Value Pre-tax (includes Voya)	\$2,108,092 After-Tax Value Voya loses \$222K to tax	\$2,344,000 Target \$8K/mo at 4.25%	\$235,908 Shortfall B2H + growth closes gap
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Bucket Overview

Bucket	Target	Funded From	Timeline	Status
1: Cash Reserve	\$288,000	Cash flows + sell VOO in IRA	Now -- July 2026	Building
2: Bridge	\$672,000	Voya 2005+ + taxable accounts	2027 payout	Pending Voya
3: Growth	\$1,384,000	401k rollover + Roths	At separation	\$1.15M funded

The Voya Tax Haircut

	Gross	Tax (~25-30%)	Net	When
Pre-409A 2002	\$118,000	-\$29,500	\$88,500	2026 (at separation)
2005+ Buckets	\$642,000	-\$192,600	\$449,400	2027 (big tax year)
Total Voya	\$760,000	-\$222,100	\$537,900	

Your \$2.24M portfolio is actually ~\$2.11M after Voya taxes. The \$236K gap closes with B2H consulting income + market growth.

BUCKET 1: CASH RESERVE — \$288,000

36 months expenses. Zero market risk. Spend first.

How to Fund Bucket 1

Source	Net Amount	When	Action
Tax refund	\$13,000	This week	Deposit to HYSA
SoFi balance	\$6,000	Now	Keep or move to HYSA
E*Trade cash unit (net 25% tax)	\$40,875	April 2026	Transfer to HYSA
E*Trade RSA — sell GCO at vest	\$15,786	April 2026	Sell immediately, HYSA
Voya Pre-409A 2002 (net 25%)	\$88,500	July 2026	Direct to HYSA
Severance / PTO payout	\$15,000	July 2026	Direct to HYSA
Sweep cash (all accounts)	\$583	Now	Leave in place
Sell VOO in Fidelity IRA ...3273	\$108,256	At separation	Sell ~174 sh, \$0 tax (IRA)
TOTAL	\$288,000		

Where to Park

High-yield savings (SoFi, Marcus, Ally) at 4.5%+ OR Schwab SWVXX money market. Interest: ~\$288K x 4.5% = \$12,960/year = \$1,080/month. That interest reduces your portfolio draw to \$6,920/month for the first 3 years.

Bucket 1 Timeline

Month	Cash Flow	Running Total
March 2026	Tax refund + SoFi	\$19,583
April 2026	E*Trade cash + RSA sale	\$76,244
July 2026	Voya Pre-409A + severance	\$179,744
July 2026	Sell VOO in IRA (tax-free)	\$288,000

BUCKET 2: BRIDGE — \$672,000

Years 4-10. Moderate growth. Refills Bucket 1.

How to Fund Bucket 2

Source	Value	When	Notes
Voya 2005+ payout (net ~30% tax)	\$449,400	2027	Primary source — Dark Horse tax strategies apply
Fidelity Taxable ...4669	\$32,323	Now	VOO — keep, good Bucket 2 holding
Fidelity Joint ...9823	\$17,887	Now	VONG, ORCL bond, IAU — diversified mix
E*Trade GCO (1,253 shares)	\$32,440	Now	Sell post-separation, diversify into B2 mix
Robinhood (IBIT)	\$12,443	Now	Crypto sleeve for Bucket 2
HSA (SWPPX, VEMAX, VAIPX)	\$65,913	Now	Leave invested — triple tax-free
Subtotal	\$610,406		
Gap — from 401k rollover	\$61,594	At separation	Redirect from Schwab rollover
BUCKET 2 TOTAL	\$672,000		

Target Allocation (Once Funded)

Category	%	Amount	Vehicle	Account
US Large Cap	30%	\$201,600	VOO / VTI	Fidelity Taxable
US Growth	20%	\$134,400	VONG / VUG	Fidelity Joint
International	15%	\$100,800	VXUS	New from Voya proceeds
Bonds	20%	\$134,400	BND / SCHZ	From Voya proceeds
Alternatives	10%	\$67,200	IAU / VNQ	Fidelity Joint + new
Crypto	5%	\$33,600	IBIT	Robinhood

Tax optimization: Bucket 2 assets are in taxable accounts. When you withdraw in years 4-10, you pay capital gains rates (0-15%), not ordinary income. Harvest losses along the way to offset gains.

BUCKET 3: LONG-TERM GROWTH
— \$1.38M

Year 10+. Aggressive. Don't touch.

Bucket 3 Accounts

Account	Type	Value	Key Holdings
Schwab PCRA ...967	Pre-Tax 401k	\$911,503	VOO, GOOG, MSFT, IBIT (6,000 sh)
Schwab PCRA ...505	Pre-Tax 401k	\$104,170	IBIT (2,660 sh)
Fidelity IRA ...3273 (after B1)	Traditional IRA	\$26,946	IVW, TSLA (after VOO sold for B1)
Fidelity Roth ...9425	Roth IRA	\$135,650	VOO, TSLA (140 sh), VO
Fidelity IRA ...0813	Traditional IRA	\$17,698	VOO
Fidelity Roth ...2670	Roth IRA	\$14,241	VOO
Bucket 3 Raw Total		\$1,210,208	
Less: transfer to Bucket 2		-\$61,594	
Bucket 3 Net		\$1,148,614	Target: \$1,384,000 (gap: \$235K)

Target Allocation

Category	%	Amount	Vehicle	Rebalancing Action
US Total Market	35%	\$484,400	VOO	Already heavy — no action
US Growth	25%	\$346,000	GOOG, TSLA	Keep GOOG 248 sh, all TSLA
International	20%	\$276,800	VXUS	Swap MSFT (\$95K) + IVW (\$17K) to VXUS
Small/Mid Cap	10%	\$138,400	VO, VXF	VO in Roth (have \$20.6K), add more
Crypto	10%	\$138,400	IBIT	Already \$339K in 401k — trim to target

At separation: Roll both Schwab 401k accounts to a Fidelity Rollover IRA. This consolidates Bucket 3 at one custodian and gives you full trading flexibility. The Roth accounts grow tax-free forever — spend these last.

Closing the \$235K Gap

Bucket 3 is \$235K under target. This is the Voya tax cost — it's real but manageable:

- B2H consulting at \$25K/year for 3 years = \$75K (also funds Solo 401k for tax savings)
- Market growth: 8.5% on \$1.15M = ~\$98K in year 1 alone
- Combination: 2-3 years of growth + consulting likely closes the full gap
- Fallback: Reduce spend to \$6,500/month — extends runway significantly (95% success rate)

Action Plan

What to do and when — in order

Now (This Week)

#	Action	Amount	Where
1	Deposit tax refund to HYSA	\$13,000	SoFi / Marcus / Ally HYSA
2	Keep SoFi as cash buffer	\$6,000	SoFi (leave as-is)
3	Label savings account "Bucket 1 Cash"	—	Your bank

Before Separation (Rebalance for International)

#	Action	Amount	Account	Tax Impact
4	Sell all MSFT (233 sh), buy VXUS	\$95,393	Schwab 401k ...967	\$0 (401k)
5	Sell GOOG 100 sh, buy VXUS	\$30,601	Schwab 401k ...967	\$0 (401k)
6	Sell all IVW (140 sh), buy VXUS	\$16,769	Fidelity IRA ...3273	\$0 (IRA)

These move \$143K to international within Bucket 3. Zero cash leaves your pocket. Zero tax impact.

April 2026 (E*Trade Vests)

#	Action	Gross	Net (~25% tax)	Destination
7	Cash unit vests, deposit net	\$54,500	\$40,875	Bucket 1 HYSA
8	RSA 813 sh vest, sell GCO immediately	\$21,049	\$15,786	Bucket 1 HYSA

Selling RSA shares at vest = near-zero capital gain (basis resets at vest). Don't hold GCO — concentration risk with your employer.

July 2026 (Separation)

#	Action	Amount	Destination
9	Voya Pre-409A nets ~\$88.5K	\$88,500	Bucket 1 HYSA
10	Severance / PTO payout	~\$15,000	Bucket 1 HYSA
11	Sell ~174 VOO in Fidelity IRA ...3273	\$108,256	Bucket 1 HYSA (\$0 tax)
12	Roll Schwab 401k to Fidelity Rollover IRA	\$1,015,673	Bucket 3 (keep invested)
13	Redirect \$62K of rollover to Bucket 2 mix	\$61,594	Bucket 2 (taxable)
Bucket 1 fully funded		\$288,000	

2027 (Voya 2005+ Payout)

Voya pays \$642K gross. After ~30% tax = ~\$449K net. This is the big tax year. Dark Horse strategies (Solo 401k, cash balance plan, Section 179 via B2H) reduce the hit. Allocate net proceeds to Bucket 2 target mix: 30% US stocks, 20% growth, 15% international, 20% bonds, 10% alternatives, 5% crypto. Bucket 2 funded.

Withdrawal Sequence

Period	Source	Monthly Need	Notes
Years 1-3	Bucket 1 (cash)	\$8,000	Interest income adds \$1,080/mo buffer
Years 4-10	Bucket 2 (bridge)	\$8,500 (inflation adj.)	Cap gains tax rate (0-15%)
Year 10+	Bucket 3 (growth)	\$9,500 (inflation adj.)	By then ~\$2.5M+, sustainable at 4%

Key Assumptions

- Separation date: July 15, 2026. Salary: \$165K. Angela income: \$40K/year.
- E*Trade vest tax: ~25% (22% federal supplemental + Medicare). Voya Pre-409A: ~25%. Voya 2005+: ~30%.
- HYSa rate: 4.5%. Market growth: 8.5% (Bucket 3), 6.5% (Bucket 2).
- All prices as of 3/7/2026 (Friday close). Voya balances as of 3/6/2026.
- Share counts verified from actual brokerage exports uploaded 3/9/2026.
- Does not include home equity (~\$900K) or Angela's retirement accounts.